# Absa Bank Kenya PLC

## The Board of Directors of Absa Bank Kenya PLC is pleased to announce the unaudited group results for the period ended 30 June 2024

| | Bank | | | | Group | | | |
|---|---|---|---|---|---|---|---|---|
| | June 2023 Shs '000 Unaudited | December 2023 Shs '000 Audited | March 2024 Shs '000 Unaudited | June 2024 Shs '000 Unaudited | June 2023 Shs '000 Unaudited | December 2023 Shs '000 Audited | March 2024 Shs '000 Unaudited | June 2024 Shs '000 Unaudited |
| **I Statement of financial position** | | | | | | | | |
| **A Assets** | | | | | | | | |
| 1 Cash balances (both local and foreign) | 8,429,922 | 12,692,202 | 7,534,115 | 6,922,190 | 8,429,922 | 12,692,202 | 7,534,115 | 6,922,190 |
| 2 Balances due from Central Bank of Kenya | 13,404,820 | 16,906,714 | 16,816,547 | 13,406,433 | 13,404,820 | 16,906,714 | 16,816,547 | 13,406,433 |
| 3 Kenya Government and other securities held for dealing purposes | 35,271,586 | 20,446,444 | 17,123,550 | 31,589,063 | 35,271,586 | 20,446,444 | 17,123,550 | 31,589,063 |
| 4 Financial assets at fair value through profit and loss | - | - | - | - | - | - | - | - |
| 5 Investment Securities: | - | - | - | - | - | - | - | - |
| a) Held to Maturity: | - | 1,062,014 | 1,018,705 | 1,061,136 | - | 1,062,014 | 1,018,705 | 1,061,136 |
| a. Kenya Government securities | - | 1,062,014 | 1,018,705 | 1,061,136 | - | 1,062,014 | 1,018,705 | 1,061,136 |
| b. Other securities | - | - | - | - | - | - | - | - |
| b) Fair value through other comprehensive income (FVOCI) | 80,359,746 | 73,273,648 | 67,252,130 | 62,334,299 | 80,732,814 | 73,644,453 | 67,589,141 | 62,685,393 |
| a. Kenya Government securities | 80,359,746 | 73,273,648 | 67,252,130 | 62,334,299 | 80,732,814 | 73,644,453 | 67,589,141 | 62,685,393 |
| b. Other securities | - | - | - | - | - | - | - | - |
| 6 Deposits and balances due from local banking Institutions | 3,992,100 | 329,506 | 1,850,268 | 7,198,162 | 3,992,100 | 329,506 | 1,850,268 | 7,198,162 |
| 7 Deposits and balances due from banking Institutions abroad | 2,200,293 | 1,391,125 | 6,882,995 | 6,750,798 | 2,200,293 | 1,391,125 | 6,882,995 | 6,750,798 |
| 8 Tax recoverable | - | - | - | - | - | - | - | 157,839 |
| 9 Loans and advances to customers(net) | 317,946,670 | 335,713,679 | 326,839,332 | 316,370,228 | 317,946,670 | 335,713,679 | 326,839,332 | 316,370,228 |
| 10 Balances due from banking institutions in the group | 13,963,927 | 27,204,622 | 24,512,836 | 11,071,060 | 13,963,927 | 27,204,622 | 24,512,836 | 11,071,060 |
| 11 Investment in Associates | - | - | - | - | - | - | - | - |
| 12 Investment in Subsidiary Companies | 462,751 | 462,751 | 462,751 | 462,751 | - | - | - | - |
| 13 Investment in joint Ventures | - | - | - | - | - | - | - | - |
| 14 Investment properties | - | - | - | - | - | - | - | - |
| 15 Property and equipment | 2,510,700 | 3,329,327 | 3,206,475 | 3,138,131 | 2,507,817 | 3,331,898 | 3,209,003 | 3,141,698 |
| 16 Prepaid operating rental leases | 31,590 | 31,056 | 30,792 | 30,528 | 31,590 | 31,056 | 30,792 | 30,528 |
| 17 Intangible assets | 495,653 | 658,914 | 821,444 | 841,203 | 548,155 | 702,881 | 862,622 | 894,906 |
| 18 Deferred Tax | 6,876,652 | 8,631,927 | 8,481,661 | 9,022,540 | 6,981,604 | 8,724,454 | 8,574,238 | 9,112,986 |
| 19 Retirement benefit asset | 3,740 | - | - | - | 3,740 | - | - | - |
| 20 Other assets | 18,139,057 | 18,167,109 | 15,284,079 | 11,625,711 | 17,723,948 | 17,614,460 | 14,831,864 | 11,028,391 |
| **21 Total asset** | **504,089,207** | **520,301,038** | **498,117,680** | **481,824,233** | **503,738,986** | **519,795,508** | **497,676,008** | **481,420,811** |
| **B Liabilities** | | | | | | | | |
| 22 Balances due to Central Bank of Kenya | - | 13,047,459 | 2,500,000 | - | - | 13,047,459 | 2,500,000 | - |
| 23 Customers' deposits | 336,078,746 | 366,903,302 | 359,455,862 | 358,057,087 | 332,599,693 | 362,749,279 | 354,961,690 | 353,336,929 |
| 24 Deposits and balances due to banking institutions (local) | 9,736,639 | 10,935,164 | 8,009,159 | 10,258,873 | 9,736,639 | 10,935,164 | 8,009,159 | 10,258,873 |
| 25 Deposits and balances due to banking institutions (foreign) | 1,627,365 | 749,867 | 539,610 | 523,476 | 1,627,365 | 749,867 | 539,610 | 523,476 |
| 26 Other money market deposits | - | - | - | - | - | - | - | - |
| 27 Borrowed funds | 4,202,591 | 4,294,626 | 3,921,904 | 3,770,563 | 4,202,591 | 4,294,626 | 3,921,904 | 3,770,563 |
| 28 Balances due to banking institutions in the group | 68,590,108 | 36,053,423 | 28,101,529 | 21,016,532 | 68,590,108 | 36,053,423 | 28,101,529 | 21,016,532 |
| 29 Tax payable | 269,486 | 792,600 | 2,962,408 | 108,171 | 6,963 | 589,397 | 2,854,837 | - |
| 30 Dividends payable | 1,086,307 | - | - | 1,086,307 | 1,086,307 | - | - | 1,086,307 |
| 31 Deferred tax liability | - | - | - | - | - | - | - | - |
| 32 Retirement benefit liability | - | - | 7,536 | 1 | - | - | 7,536 | 1 |
| 33 Other liabilities | 22,109,275 | 22,100,236 | 21,711,484 | 18,363,565 | 22,148,659 | 22,181,083 | 21,756,351 | 18,402,837 |
| **34 Total liabilities** | **443,700,517** | **454,876,677** | **427,209,492** | **413,184,575** | **439,998,325** | **450,600,298** | **422,652,616** | **408,395,518** |
| **C Shareholders' Funds** | | | | | | | | |
| 35 Paid up/Assigned capital | 2,715,768 | 2,715,768 | 2,715,768 | 2,715,768 | 2,715,768 | 2,715,768 | 2,715,768 | 2,715,768 |
| 36 Share premium/(discount) | - | - | - | - | - | - | - | - |
| 37 Revaluation reserves | (2,011,709) | (4,721,011) | (4,878,151) | (3,184,943) | (2,046,499) | (4,757,700) | (4,926,949) | (3,231,745) |
| 38 Retained earnings/(Accumulated losses) | 59,513,564 | 59,830,614 | 65,421,577 | 68,793,211 | 62,900,325 | 63,638,152 | 69,585,579 | 73,225,648 |
| 39 Statutory loan loss reserve | - | - | - | - | - | - | - | - |
| 40 Other reserves | 171,067 | 266,416 | 316,420 | 315,622 | 171,067 | 266,416 | 316,420 | 315,622 |
| 41 Proposed dividend | - | 7,332,574 | 7,332,574 | - | - | 7,332,574 | 7,332,574 | - |
| 42 Capital grants | - | - | - | - | - | - | - | - |
| **43 Total shareholders' funds** | **60,388,690** | **65,424,361** | **70,908,188** | **68,639,658** | **63,740,661** | **69,195,210** | **75,023,392** | **73,025,293** |
| 44 Minority Interest | - | - | - | - | - | - | - | - |
| **45 Total liabilities and total shareholders funds** | **504,089,207** | **520,301,038** | **498,117,680** | **481,824,233** | **503,738,986** | **519,795,508** | **497,676,008** | **481,420,811** |
| **II Statement of comprehensive income** | | | | | | | | |
| **1.0 Interest income** | | | | | | | | |
| 1.1 Loans and advances to customers | 20,210,699 | 44,252,616 | 13,474,112 | 27,354,896 | 20,210,699 | 44,252,616 | 13,474,112 | 27,354,896 |
| 1.2 Government securities | 4,692,016 | 9,133,662 | 2,188,535 | 4,287,228 | 4,714,239 | 9,178,475 | 2,199,708 | 4,309,573 |
| 1.3 Deposits and placements with banking institutions | 308,137 | 832,141 | 574,220 | 959,306 | 308,137 | 832,141 | 574,220 | 959,306 |
| 1.4 Other interest income | - | - | - | - | - | - | - | - |
| **1.5 Total interest income** | **25,210,852** | **54,218,419** | **16,236,867** | **32,601,430** | **25,233,075** | **54,263,232** | **16,248,040** | **32,623,775** |
| **2.0 Interest expenses** | | | | | | | | |
| 2.1 Customer deposits | 4,747,773 | 12,126,927 | 4,360,516 | 9,087,450 | 4,655,451 | 11,876,693 | 4,248,256 | 8,842,515 |
| 2.2 Deposits and placements with banking institutions | 1,293,038 | 2,171,427 | 547,586 | 645,291 | 1,293,038 | 2,171,427 | 547,586 | 645,291 |
| 2.3 Other interest expenses | 59,932 | 171,327 | 66,389 | 131,015 | 59,932 | 171,327 | 66,389 | 131,015 |
| **2.4 Total interest expenses** | **6,100,743** | **14,469,681** | **4,974,491** | **9,863,756** | **6,008,421** | **14,219,447** | **4,862,231** | **9,618,821** |
| **3.0 Net interest income** | **19,110,109** | **39,748,738** | **11,262,376** | **22,737,674** | **19,224,654** | **40,043,785** | **11,385,809** | **23,004,954** |
| **4.0 Non – interest income** | | | | | | | | |
| 4.1 Fees and commissions income on loans & advances | 697,669 | 1,543,039 | 408,463 | 713,713 | 697,669 | 1,543,039 | 408,463 | 713,713 |
| 4.2 Other fees and commissions | 2,138,243 | 4,284,765 | 1,113,064 | 2,167,252 | 2,985,691 | 5,776,844 | 1,589,410 | 2,977,252 |
| 4.3 Foreign exchange trading income | 3,764,153 | 6,510,041 | 2,149,245 | 3,653,120 | 3,764,150 | 6,510,005 | 2,149,313 | 3,653,194 |
| 4.4 Dividend income | - | - | - | - | - | - | - | - |
| 4.5 Other income | 700,338 | 715,564 | 935,895 | 1,489,943 | 691,321 | 697,630 | 931,403 | 1,480,961 |
| **4.6 Total non-interest income** | **7,300,403** | **13,053,409** | **4,606,667** | **8,024,028** | **8,138,831** | **14,527,518** | **5,078,589** | **8,825,120** |
| **5.0 Total operating income** | **26,410,512** | **52,802,147** | **15,869,043** | **30,761,702** | **27,363,485** | **54,571,303** | **16,464,398** | **31,830,074** |
| **6.0 Operating expenses** | | | | | | | | |
| 6.1 Loan loss provision | 5,155,341 | 9,244,514 | 2,404,122 | 5,169,772 | 5,155,422 | 9,244,453 | 2,404,111 | 5,169,719 |
| 6.2 Staff costs | 5,491,453 | 11,484,234 | 2,933,738 | 6,060,584 | 5,602,308 | 11,725,426 | 2,988,254 | 6,167,518 |
| 6.3 Directors emoluments | 87,780 | 187,249 | 45,940 | 108,388 | 92,389 | 196,468 | 48,245 | 113,830 |
| 6.4 Rental charge | 59,596 | 127,400 | 19,911 | 30,472 | 59,799 | 127,801 | 20,026 | 30,703 |
| 6.5 Depreciation on property and equipment | 420,051 | 850,732 | 227,714 | 457,166 | 420,194 | 851,035 | 227,879 | 457,514 |
| 6.6 Amortisation charges | 58,369 | 127,426 | 41,717 | 89,445 | 63,947 | 138,583 | 44,506 | 95,161 |
| 6.7 Other operating expenses | 3,861,362 | 8,520,836 | 2,222,246 | 4,458,225 | 3,898,186 | 8,609,446 | 2,251,916 | 4,521,162 |
| **6.8 Total operating expenses** | **15,133,952** | **30,542,391** | **7,895,388** | **16,374,052** | **15,292,245** | **30,893,212** | **7,984,937** | **16,555,607** |
| **7.0 Profit before tax and exceptional items** | **11,276,560** | **22,259,756** | **7,973,655** | **14,387,650** | **12,071,240** | **23,678,091** | **8,479,461** | **15,274,467** |
| 8.0 Exceptional items | - | - | - | - | - | - | - | - |
| **9.0 Profit after exceptional items** | 11,276,560 | 22,259,756 | 7,973,655 | 14,387,650 | 12,071,240 | 23,678,091 | 8,479,461 | 15,274,467 |
| 10 Current tax | (4,383,550) | (8,338,018) | (2,168,341) | (4,979,948) | (4,614,801) | (8,758,969) | (2,312,547) | (5,235,471) |
| 11 Deferred tax | 842,090 | 1,454,737 | (214,351) | 676,562 | 848,737 | 1,448,207 | (219,487) | 670,168 |
| **12 Profit after tax and exceptional items** | **7,735,100** | **15,376,475** | **5,590,963** | **10,084,264** | **8,305,176** | **16,367,329** | **5,947,427** | **10,709,164** |
| **13 Other comprehensive income** | | | | | | | | |
| 13.1 Gains/(Losses) from translating the financial statements of foreign operations | - | - | - | - | - | - | - | - |
| 13.2 Fair value changes in FVOCI financial assets | (667,581) | (4,488,127) | (213,616) | 1,003,680 | (695,896) | (4,518,950) | (230,901) | 989,307 |
| 13.3 Revaluation surplus on property,plant and equipment | - | - | - | - | - | - | - | - |
| 13.4 Share of other comprehensive income of associates | - | - | - | - | - | - | - | - |
| 13.5 Income tax relating to components of other comprehensive income | 200,274 | 1,346,438 | 64,085 | (301,104) | 208,769 | 1,355,685 | 69,270 | (296,792) |
| **14 Other comprehensive income for the year net of tax** | (467,307) | (3,141,689) | (149,531) | 702,576 | (487,127) | (3,163,265) | (161,631) | 692,515 |
| **15 Total comprehensive income for the year** | **7,267,793** | **12,234,786** | **5,441,432** | **10,786,840** | **7,818,049** | **13,204,064** | **5,785,796** | **11,401,679** |
| Earnings per Share (Shs) | **1.42** | **2.83** | **1.03** | **1.86** | **1.53** | **3.01** | **1.09** | **1.97** |
| Dividends per share (Shs) | **0.20** | **1.55** | **-** | **0.20** | **0.20** | **1.55** | **-** | **0.20** |

| | Bank | | | |
|---|---|---|---|---|
| | June 2023 Shs '000 Unaudited | December 2023 Shs '000 Audited | March 2024 Shs '000 Unaudited | June 2024 Shs '000 Unaudited |
| **III Other disclosures** | | | | |
| **1) Non-performing loans and advances** | | | | |
| a) Gross non-performing loans and advances | 32,179,930 | 35,254,674 | 38,822,046 | 39,396,807 |
| b) Less: Interest in suspense | 4,648,699 | 5,831,630 | 6,128,131 | 6,692,507 |
| **c) Total non performing loans and advances** | **27,531,231** | **29,423,044** | **32,693,915** | **32,704,300** |
| d) Less: loan loss provisions | 17,669,239 | 17,373,643 | 18,060,133 | 19,982,060 |
| **e) Net non performing loans(c-d)** | **9,861,992** | **12,049,401** | **14,633,782** | **12,722,240** |
| f) Discounted value of securities | 7,700,786 | 9,297,549 | 10,705,598 | 9,620,049 |
| **g) Net NPLs (Excess)/Exposure (e-f)** | **2,161,206** | **2,751,852** | **3,928,184** | **3,102,191** |
| **2) Insider loans and advances** | | | | |
| a) Directors ,shareholders and associates | 58,995 | 55,981 | 53,437 | 50,802 |
| b) Employees | 10,288,808 | 10,372,279 | 10,462,970 | 10,508,054 |
| c) Total insider loans and advances | **10,347,803** | **10,428,260** | **10,516,407** | **10,558,856** |
| **3) Off Balance sheet items** | | | | |
| a) Letters of credit, guarantees, acceptances | 54,162,125 | 54,293,768 | 61,647,537 | 115,941,305 |
| b) Forwards, swaps and options | 148,689,765 | 103,427,258 | 102,743,088 | 89,426,481 |
| c) Other contingent liabilities | - | - | - | - |
| d) **Total Contingent liabilities** | **202,851,890** | **157,721,026** | **164,390,625** | **205,367,786** |
| **4) Capital Strength** | | | | |
| a) Core capital | 57,321,310 | 60,169,095 | 63,394,389 | 64,090,991 |
| b) Minimum statutory capital | 1,000,000 | 1,000,000 | 1,000,000 | 1,000,000 |
| **c) Excess/(Deficiency)** | **56,321,310** | **59,169,095** | **62,394,389** | 63,090,991 |
| d) Supplementary capital | 17,659,767 | 19,729,013 | 16,523,153 | 16,237,205 |
| **e) Total capital** | **74,981,077** | **79,898,108** | **79,917,542** | **80,328,196** |
| f) Total risk weighted assets | 424,761,594 | 442,484,634 | 445,703,424 | 432,544,004 |
| g) Core capital/total deposit liabilities | 17.3% | 16.7% | 18.0% | 18.3% |
| h) Minimum statutory ratio | 8.0% | 8.0% | 8.0% | 8.0% |
| **i) Excess/(Deficiency)** | **9.3%** | **8.7%** | **10.0%** | 10.3% |
| j) Core capital/total risk weighted assets | 13.5% | 13.6% | 14.2% | 14.8% |
| k) Minimum statutory ratio | 10.5% | 10.5% | 10.5% | 10.5% |
| **l) Excess/(Deficiency)** | **3.0%** | **3.1%** | **3.7%** | **4.3%** |
| m) Total capital/total risk weighted assets | 17.7% | 18.1% | 17.9% | 18.6% |
| n) Minimum statutory ratio | 14.5% | 14.5% | 14.5% | 14.5% |
| **o) Excess/(Deficiency)** | **3.2%** | **3.6%** | **3.4%** | **4.1%** |
| p) Adjusted Core Capital/Total Deposit Liabilities* | - | - | - | - |
| q) Adjusted Core Capital/Total Risk Weighted Assets* | - | - | - | - |
| r) Adjusted Total Capital/Total Risk Weighted Assets* | - | - | - | - |
| 5 Liquidity | | | | |
| a) Liquidity ratio | 28.7% | 31.1% | 33.5% | 35.2% |
| b) Minimum statutory ratio | 20.0% | 20.0% | 20.0% | 20.0% |
| **c) Excess/(Deficiency)** | **8.7%** | **11.1%** | **13.5%** | **15.2%** |

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS9

**Summary Consolidated Statement of Changes in Equity**

| | Share Capital Shs '000 | Other Reserves Shs '000 | Retained Profit Shs '000 | Proposed Dividends Shs '000 | Total Equity Shs '000 |
|---|---|---|---|---|---|
| **As at 1 January 2024** | 2,715,768 | (4,491,284) | 63,638,152 | 7,332,574 | **69,195,210** |
| Profit for the year | - | - | 10,709,164 | - | **10,709,164** |
| Other comprehensive income | - | 692,515 | (35,361) | - | **657,154** |
| **Total comprehensive income for the year** | - | 692,515 | 10,673,803 | - | **11,366,318** |
| Recognition of share-based payments | - | 49,206 | - | - | **49,206** |
| Impairment on government securities | - | 833,440 | - | - | **833,440** |
| Final dividend for 2022 paid | - | - | - | (7,332,574) | **(7,332,574)** |
| Interim dividend | - | - | (1,086,307) | - | **(1,086,307)** |
| **Balance as at 30 June 2024** | **2,715,768** | **(2,916,123)** | **73,225,648** | **-** | **73,025,293** |

| **Summary Consolidated Statement of Cash Flows** | June 2023 Unaudited Shs '000 | December 2023 Audited Shs '000 | June 2024 Unaudited Shs '000 |
|---|---|---|---|
| Net cash generated from operating activities | 4,466,334 | 13,643,528 | **5,172,976** |
| Net cash used in investing activities | (208,950) | (646,092) | **(325,788)** |
| Net cash used in financing activities | (6,559,205) | (8,008,327) | **(7,820,036)** |
| **Net decrease in cash and cash equivalents** | (2,301,821) | 4,989,109 | **(2,972,848)** |
| Cash and cash equivalents at 1 January | 20,340,293 | 25,531,383 | **30,553,915** |
| Net foreign exchange difference | 234,080 | 33,423 | **(298,626)** |
| **Cash and cash equivalents at period end** | 18,272,552 | 30,553,915 | **27,282,441** |

**Message from the Directors:**

The Board of Absa Bank Kenya PLC is pleased to release the financial performance results for the half year period ended June 30, 2024.

The financial results highlight our strong and resilient performance, with revenue increasing by 16% to Ksh 31.8 billion, in a dynamic operating environment. We have sustained momentum in executing our strategy, resulting in improved profitability and further enhancing our Return on Equity.

Our focused efforts to provide access to finance drove improved performance, with significant contributions from funded income. We also empowered small enterprises and women-led businesses with essential non-financial solutions, helping them navigate a challenging landscape. Additionally, we achieved 8.4% growth in non-funded income, bolstered by diversified traditional revenue sources and strong performance from our new revenue streams, including asset management and brokerage services.

Customer deposits increased 6% to Ksh 353 billion in the period under review, while customer assets held steady.
The Board is satisfied with the strides the Bank is making in executing its strategy, evident through the robust financial performance. This commendable outcome realised underscores the efficacy of the Bank's growth strategy and our unwavering dedication to providing tailor-made financial solutions that address the diverse needs of individuals, enterprises, and communities.
Our strategic ambition is to become a holistic modern financial services business that meets customers' dynamic needs through innovation and partnerships. We continue to diversify our revenue with scalable payment solutions, improving customer experience and advancing financial inclusion through digital finance, affordable housing, and SME offerings like Wezesha and Microinsurance.

While the transformational investments contributed to a 12% cost increase, ongoing prudent cost control improved our cost-to-income ratio to 35.8%.

**Delivering shareholder value**
The Board of Directors has resolved to approve the payment of an interim dividend for the year 2024 of Ksh 0.20 per ordinary share of the Company to be paid on or about Tuesday, 15 October 2024 to shareholders registered as at close of business on Friday, 20 September 2024.

**Looking ahead**
As we look to the future, we remain acutely aware of the challenges, and opportunities, that present in the macroeconomic environment. As a Board, we are confident that with prudent management, we can navigate these risks and continue to support our customers' growth ambitions, consequently driving our own growth.

We extend our gratitude to our customers, shareholders, colleagues, and all stakeholders for their steadfast support, a critical enabler of our performance and overall organizational success.

**Publication**
The statement of financial position, the statement of comprehensive income, cashflow and changes in equity as well as the disclosures presented above have been prepared from the financial records of the bank and its subsidiaries. These published statements and disclosures are also available on the bank's website **www.absabank.co.ke**. They may also be accessed at the institutions head office at Absa Headquarters, Waiyaki Way.

They were duly approved by the Board on Monday, 26 August 2024 and signed on its behalf by

**Charles Muchene**
Chairman

**Abdi Mohamed**
Managing Director

**Yusuf Omari**
Chief Financial Officer